MARKET PROFILE – JORDAN



MTPL, regulatory reset and consolidation shape insurance industry development

Resolving motor insurance challenges, introducing new compulsory insurance lines and preventing harmful competition are some critical priorities for the Jordanian insurance industry to unlock further market expansion, says United Insurance Company's (UIC) Mr Raed Khalil Haddadin.

By Osama Noor

Although motor third-party liability insurance (MTPL) is particularly important to insurers in Jordan as it contributes almost 27% of the total industry premiums, the branch is regarded as the Achilles' heel of the sector. MTPL business faces persistent underwriting losses and regulatory constraints, forcing several players to withdraw from this business. Pointing to this pressure, United Insurance Company's (UIC) CEO, Raed Haddadin, noted, "Currently, only 10 companies write MTPL business. This number is expected to decrease."

The retreat by insurers is partly driven by the regulatory requirements of the Central Bank of Jordan (CBJ). When a company's MTPL insurance premiums reach 100% of its shareholders' equity, it must stop writing this line.

Mr Haddadin said, "By the end of this year, it is expected that only eight companies will continue to write MTPL, thereby bearing the administrative and financial burden of this underperforming line. This line faces serious challenges, including a high rate of fraud, rising spare-parts costs and inflated claims, among others."

Innovative solutions for MTPL

Increasing MTPL insurance tariff rates or allowing premiums to be floated are not necessarily the most appropriate solution to overcoming its challenges, said Mr Haddadin. "The MTPL tariff system needs to be restructured to reflect the risk being written. For instance, the quality of drivers should be factored into the pricing mechanism. Drivers with clean records shouldn't pay the same rates as those who cause frequent accidents; experienced drivers should be charged differently from new drivers; and the frequency of vehicle usage should be considered, in addition to several other criteria that can be used to set an adequate and fair price."

Mr Haddadin proposed a solution to the motor insurance dilemma. "To avoid undesirable practices, the government can set a minimum and maximum rate while giving insurers the freedom to set prices within these limits. This will ensure that policyholders are not exploited while guaranteeing that companies do not price business below the technical level."

Currently, the premium income generated from the MTPL business is insufficient to cover its obligations, while the rate adjustments introduced over the years have not been commensurate with the escalation in losses, he said. "Income generated from other lines is subsidising MTPL insurance expenses, which is an unsustainable solution."

Overall, a bold decision should be taken by the authorities to address the thorny MTPL issues, "Otherwise the market will remain in the same vicious circle," he noted.

Regulatory reset

On the bright side, broader regulatory frameworks are evolving to bring greater stability and enforcement to the market. Last August, the Insurance Contract Law took effect, setting out the legal contractual relationship between the insurer and the insured. Mr Haddadin said that the enactment of the Law is a major milestone for the industry in Jordan and the region as well.

"The Insurance Contract Law is the first of its kind in the region, as it regulates the relationship

between the insurance company and the insured. Previously, there were scattered legal provisions in the Civil Law that were used as a reference for insurance litigation, as is the case in countries across the region. The Law, consisting of more than 100 articles, introduces stringent punishment that explicitly criminalises fraudulent practices, with penalties that could reach imprisonment of three years and a JOD30,000 ($42,000) fine."

Another regulatory initiative was introduced in January 2025 when the CBJ launched the Policyholders and Beneficiaries Protection Fund to safeguard protection for the public if an insurer faces insolvency or liquidation with assets insufficient to cover outstanding claims. This Fund is financed by deducting 0.5% of insurance premiums written, while levying the same on policyholders. Altogether, it accounts for 1% of policy premiums.

Mr Haddadin said, "Creating the Fund is a right move. Currently, there are several companies under liquidation. The Fund was founded to deal with any potential consequences that may emerge. It does not cover liquidation cases that occurred prior to its establishment."

Medical insurance

While regulatory guardrails are tightening, market pressures persist elsewhere—notably in medical insurance. There is unhealthy price competition in the medical insurance sector, which is worrisome given the high rate of claims, said Mr Haddadin. He added that the hikes in medical fees, which began last year, is expected to impact insurance companies. The fee increases are implemented in phases, and its impact in the first phase was 15% to 18% of insurance premium income.

"The bulk of medical insurance is group business. However, with the lack of compulsory medical insurance schemes, at least for employees, the pool of insured remains limited and unable to absorb potential increases in expenses and compensation payments."

Meanwhile, the CBJ is cooperating with the Jordan Insurance Federation (JIF) to establish procedures to address the challenges facing medical insurance claims.

Consolidation to face competition

Compounding these operational strains is market fragmentation. At present, there are 18 insurers in Jordan, which is a large number for a relatively small market. The capacity exceeds the needs of the market, said Mr Haddadin. "Therefore, to create a healthy market with strong operators capable of serving clients effectively, the number of players shouldn't exceed 10 strong, solvent companies with sufficient scale. This should prompt players to consider mergers to create large insurers capable of delivering outstanding service in the local market and expanding into other countries in the region."

Currently, industry players are receptive to the idea of mergers, he added. "Companies realise that they need to build scale and create large entities capable of competing locally and regionally. Fragmentation is not in the interests of insurers. Some players are suffering from critical solvency issues and struggling to meet regulatory requirements. Troubled operators are affecting the stability of the market as a whole."

Mr Haddadin noted that corporate governance regulations are also pushing the sector in that direction. "Shareholders will overcome obstacles when they realise the benefits of M&A. This is the direction the CBJ is pushing in."

Expanding the marketplace

To unlock new avenues for growth, the market must look toward structural expansion. Introducing compulsory insurance schemes is necessary to expand the safety net in Jordan, which would also expand the size of the market, said Mr Haddadin. "It is a suitable means of increasing awareness of insurance as a protection tool. Other neighbouring markets have implemented compulsory insurance schemes to protect their citizens as well as to lessen the financial burden on their governments."

He cited, as an example, the GCC states which enforce several compulsory insurance schemes, such as medical insurance for employees and their families, malpractice coverage and professional indemnity for independent professionals. "These initiatives generate revenue for insurers while providing wider protection for the public."

The Social Security Corporation (SSC) in Jordan currently assumes the role of insurance companies in providing financial compensation for occupational hazards. "The SSC would be more suited for focussing on pensions. It would be more effective for insurers to cover work-related accident risks."

Looking ahead

UIC was the first insurer in Jordan to raise its paid-up capital to the new minimum capital requirement of JOD16m to remain a composite player. "A major reason for increasing the capital requirement is to encourage mergers in the insurance sector. Some companies were unable to increase their capital, and therefore have limited their operations to non-life business. I expect that there would be another increase in the future," said Mr Haddadin.

Going forward, he expects the market to maintain its current growth momentum. "There are no major changes expected this year. In the next couple of years, a number of companies will exit the market due to financial constraints or mergers."

Number of insurers in Jordan expected to continue to fall

Jordan's insurance market is undergoing major changes with the number of players declining as some insurers merge while others exit the sector, said Mr Raed Haddadin, CEO of United Insurance Company. "The number of insurers stood at 27 in the past. Several operators are currently under liquidation, while the market has witnessed a number of mergers over the past decade."

The number of players is expected to decline further , he said. "The latest merger deal was finalised in August, combining two insurers and bringing the number of players down to 18."